5.5 Perfect Competition:



It is an ideal but imaginary market. 100% perfect competition cannot be seen. Perfect Competition market is that type of market in which the number of buyers and sellers is very large, all are engaged in buying and selling a homogenous product at uniform price without any artificial restrictions and possessing perfect knowledge of the market at a time.

According to Joan Robinson, *"Perfect competition prevails when the demand for the output of each producer is perfectly elastic".*

5.5.1 Features of the Perfect Competition:

a. ***Large Number of Buyers and Sellers***

'A large number of buyers' implies that each individual buyer buys a very, very small quantum of a product as compared to that found in the market. This means that he (he includes she also) has no power to fix the price of the product. He is *only a price-taker and not a price-maker.*

The term, 'large number of sellers' implies that share of each individual seller is a very, very small quantum of a product. This means that he has no power to fix the price of the product. Like the buyer, the seller also only *a price-taker and not a price-maker.*

b. ***Homogeneous Product and Uniform Price***

The product sold and bought is homogeneous in nature, in the sense that the units of the product are perfectly substitutable. All the units of the product are identical (ie) of the same size, shape, colour, quality etc. Therefore, a *uniform price* prevails in the market.

c. ***Free Entry and Exit***

In the short run, it is possible for the very efficient producer, producing the product at a very low cost, to earn *super normal profits*. Attracted by such a profit, new firms enter into the industry. When large number of firms enter, the supply (in comparison to demand) would increase, resulting in lower price.

An inefficient producer, who is unable to bring down the cost incurs loss. Disturbed by the loss, the existing loss-incurring firms quit the market. If it happens, supply will then decrease, price will go up. Existing firms could earn more profit.

d. ***Absence of Transport Cost***

The prevalence of the uniform price is also due to the absence of the transport cost.

e. ***Perfect Mobility of Factors of Production***

The prevalence of the uniform price is also due to the perfect mobility of the factors of production. As they enjoy perfect freedom to move from one place to another and

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